

Morning Briefing

Date: Sunday 24 May 2026 | Generated: 06:45 BST | Next European Open: Tuesday 26 May 2026

⚠ **HOLIDAY NOTICE** — Monday 25 May 2026 is a public holiday across all major European markets: UK Spring Bank Holiday, German Pfingstmontag, French Lundi de Pentecôte. All European cash and listed derivatives are **CLOSED**. US markets are open Monday. Next European open: Tuesday 26 May.

Last trading data: Friday 22 May 2026. Asian markets trade Monday 25 May before Tuesday's European open. Data collected ~06:45 BST Sunday 24 May 2026.

2. Important News

Nvidia Q1 FY2027: Record \$81.6bn revenue, stock slides 0.9% post-earnings. — CNBC / Fortune, May 20

Data center revenue doubled to \$75.2bn (92% of total), \$80bn buyback announced. Market had priced perfection; stock dipped on guidance vs elevated buy-side expectations. Signals AI capex cycle is intact but NVDA premium is capped near-term.

FOMC minutes (May 20): Majority see rate hike necessary if oil-driven inflation persists above 3%. — Federal Reserve / CNBC, May 20

Fed held at 3.5–3.75% for third consecutive meeting (April 29). Four dissents — most since 1992. New Fed Chair (Kevin Warsh) taking oath amid heightened policy uncertainty. Rates market now pricing hike for remainder of 2026.

Iran ceasefire holds but Strait of Hormuz shipping at 5% of pre-conflict levels. — Oxford Economics / Congress.gov / Britannica

Operation Epic Fury (US-Israel vs Iran, Feb 28 – May 5) ended with uneasy ceasefire April 7. Brent near \$104 — down from \$126 peak but far above pre-war levels. Shipping insurance and freight rates remain highly elevated. Recovery to normal Hormuz traffic now pushed to late 2026.

S&P 500 records 8th consecutive weekly gain; Dow sets all-time high at 50,580. — TheStreet / Yahoo Finance, May 22

Markets rallied on ceasefire optimism and strong earnings season (S&P Q1 2026 EPS growth +28.4% per FactSet). Risk appetite strong but Fed hawkish pivot a headwind going into June.

Coca-Cola Europacific Partners AGM scheduled May 28 in London; S&P Q1 2026 EPS growth at +28.4% (highest since Q4 2021). — SEC / FactSet

Strong earnings growth season nearly complete. Market consensus increasingly focused on Q2 guidance with oil-driven cost inflation beginning to bite.

3. European Futures — Pre-Open

Note: No European futures activity Sunday; European cash markets CLOSED Monday 25 May. Pre-open indications below are based on Friday's close and Sunday futures activity where available.

Contract	Last Ref. Level	Friday Move	Expected Direction (Tue)	Notes
Euro Stoxx 50 (FESX)	~5,974–6,018	+0.8% (Fri fut.)	Mild positive bias	Supported by US gains Fri; Hormuz still uncertain
DAX (FDAX)	~24,889	+1.2%	Positive; tech momentum	4% weekly gain last week; Pfingstmontag gap risk
CAC 40	n/a	n/a	Aligned with Euro Stoxx	Lundi de Pentecôte closed Mon; data unavailable
FTSE 100	n/a	n/a	Mild positive bias	Spring Bank Holiday Mon; specific close not sourced
S&P 500 E-mini (context)	7,473	+0.37%	Positive; 8-week win streak	Dow record 50,580; Nasdaq 26,344
Nasdaq 100 (context)	26,344	+0.19%	Mild	Nvidia muted post-earnings

4. Friday 22 May — European Close

Last European trading session before long weekend (Mon 25 May holiday across Europe).

Index	Close	Change	% Change	Weekly
Euro Stoxx 50	6,018	+55 pts	+0.91%	~+2.5%
Stoxx 600	622	+1.2 pts	+0.20%	~+1.5%
DAX 40	24,889	+294 pts	+1.20%	~+4.0%
CAC 40	n/a	n/a	n/a	n/a
FTSE 100	n/a	n/a	n/a	n/a

Tone: European equities advanced Friday on ceasefire optimism and tech momentum from US. DAX outperformed on German industrial recovery bets. Volumes lighter than normal ahead of long weekend.

5. US Markets — Friday 22 May Session

Index	Close	Change (pts)	% Change	YTD
S&P 500	7,473.47	+27.75	+0.37%	8-wk winning streak
Dow Jones	50,580	+294	+0.58%	All-time record high
Nasdaq Composite	26,343.97	+50.87	+0.19%	7th of last 8 wks up

Session tone: Risk-on. Markets extended rally on ceasefire progress in Middle East and a strong end to Q1 earnings season (S&P 500 EPS +28.4%). Dow set a new all-time high. Nasdaq underperformed large-cap indices — Nvidia's record results delivered muted price reaction (+/- 0.9% decline) as elevated valuation (30.5x CY2026E) left no room for upside surprises.

Leading sectors: Industrials, energy, financials.

Lagging sectors: Technology (Nvidia overhang), consumer discretionary.

Key takeaway: The "Iran ceasefire trade" continues to support cyclicals and energy. The bigger risk for the week ahead is the FOMC hawkish signal — a rate hike is now priced as a 2026 event. Rate-sensitive sectors (utilities, REITs) face headwinds.

6. Asian Markets — Overnight Session

Note: Data from Thursday 21 May (most recent available). Monday 25 May Asian session will be key — markets in Asia trade normally while Europe is on holiday. Tuesday gap-open risk applies.

Index	Level	% Change	Tone
Nikkei 225	61,684	+3.14%	Strong; trade data beat, yen soft
Hang Seng	n/a	~-1.15%	Weak; China macro concerns
Shanghai / CSI 300	4,783	-1.39%	Sold off; gave back early gains
Kospi (South Korea)	n/a	n/a	Mixed; Hormuz supply chain drag

Overall tone: Divergent. Japan rallied sharply on export data and ceasefire energy relief. Chinese markets retreated on domestic growth concerns and limited Hormuz trade recovery. Korean market weighed by shipping and chip sector uncertainty. Monday 25 May Asian session (running while Europe is closed) will set the tone for Tuesday's European gap-open.

7. Commodities

Commodity	Price	Change	Unit	Context
Brent Crude	103.94	+1.33%	USD/bbl	Well off \$126 peak (early May); ceasefire deflation + Hormuz still at 5% of normal traffic keeps floor elevated
WTI Crude	~98.00	~+1.0%	USD/bbl	Spread to Brent above historical average due to North Sea premium from rerouting
Gold	~4,523	n/a	USD/oz	Elevated; war premium, inflation hedge and Fed uncertainty all supportive
Natural Gas (HH)	~2.91	n/a	USD/MMBtu	LNG re-routing from Middle East has tightened European gas supply modestly
Copper	~6.38	n/a	USD/lb	Supported by energy transition demand; Chinese demand uncertain given CSI 300 weakness

Notable: Brent's dip from the \$126 peak reflects ceasefire relief but the \$20+ premium vs pre-war levels (\$75–80) is structural until Hormuz traffic normalises — a process the IEA now projects for late 2026 at the earliest. Gold at \$4,500+ reflects a new regime of elevated geopolitical risk and inflation above 3%.

8. Rates & FX

Instrument	Level	Change	Direction	Notes
US 10Y Treasury	4.60%	+bp (rising)	Bearish (hawkish Fed)	1-year high; FOMC minutes signal hike risk; new Fed Chair Warsh seen as hawkish
German 10Y Bund	3.10%	Edging up	Rising	Oil-driven inflation forcing ECB repricing; German fiscal package adding supply
EUR/USD	~1.175	<i>Flat-ish</i>	Neutral	Range 1.1677–1.1789 past two weeks; Fed hike narrative caps EUR upside
GBP/USD	~1.35	<i>n/a</i>	Neutral	Range 1.34–1.36; UK Bank Holiday mon reduces GBP volumes Monday
DXY (Dollar Index)	~99.3	<i>Flat</i>	Flat to slightly firm	On track to end week broadly flat; Warsh hawkish narrative a modest USD positive

Key rates watch: US 10Y at 4.60% is a notable headwind for equities and credit. German Bund at 3.10% compresses euro IG spreads and increases funding costs for European issuers. EUR/USD at 1.175 — dollar strength limited by ceasefire risk-on; key level is 1.17 support on downside.

9. DCM — Primary Bond Market

9A. LAST WEEK'S ISSUANCES (W/C 19 MAY 2026)

Specific deal-level data for the week of 19–22 May 2026 was not reliably sourced in this session. IFR and GlobalCapital carry paywalled deal logs. Key context: European gross government bond issuance for full-year 2026 is projected at ~€1.4 trillion (Amundi / GlobalCapital). EU supranational issuance alone targeted at €90bn in H1 2026. The primary market reopened aggressively post-ceasefire in early May.

9B. PIPELINE / EXPECTED (WEEK OF 26 MAY)

Primary market typically quieter in holiday-shortened weeks. With Monday a pan-European holiday, the window for new issuance effectively runs Tuesday–Friday. Expect SSA and covered bond supply to dominate early in the week. Corporate IG issuance likely opportunistic; HY pipeline subdued given rates uncertainty. German government (Bund) auction schedule and ECB purchase operations will drive spreads early in the week.

9C. KEY SPREADS

Instrument	Level	Change (wk)	Direction	Notes
iTraxx Main (5Y)	<i>n/a</i>	<i>n/a</i>	<i>n/a</i>	Data not sourced this session
iTraxx Crossover (5Y)	<i>n/a</i>	<i>n/a</i>	<i>n/a</i>	Data not sourced; historically ~5x Main
CDX IG (5Y)	<i>n/a</i>	<i>n/a</i>	<i>n/a</i>	Data not sourced this session
Avg Euro Corp IG OAS	<i>n/a</i>	<i>n/a</i>	<i>n/a</i>	ICE BofA Euro HY index tracked; specific IG OAS not sourced

9D. COMMENTARY

The primary market reopened with force post-ceasefire in early May as issuers rushed the window before rate hike fears could tighten it. The FOMC minutes (May 20) signalling a possible hike have shifted the narrative: issuers are now racing to price before June FOMC. The holiday-shortened week (Monday pan-European holiday) compresses the issuance window to four sessions. Financials and SSA likely to lead; industrials and energy issuers monitoring Brent stabilisation before pulling the trigger on long-dated supply. HY window is conditionally open — dependent on iTraxx Crossover not widening materially Tuesday open.

10. Economic Calendar — Week of 26 May 2026

Monday 25 May: ALL major European markets closed (bank holiday). Calendar below reflects Tuesday onwards.

Date	London Time	Region	Indicator	Consensus	Importance
Mon 25	—	Europe	MARKET CLOSED (Whit Monday)	—	—
Mon 25	Various	US	US open; University of Michigan Final May Sentiment	<i>n/a</i>	MED
Tue 26	08:00	Germany	Ifo Business Climate (May)	<i>n/a</i>	HIGH
Tue 26	09:30	UK	Retail Sales (Apr, if not released prior)	<i>n/a</i>	HIGH
Tue 26	10:00	Eurozone	Consumer Confidence (May final)	<i>n/a</i>	MED
Tue 26	13:30	US	Durable Goods Orders (Apr)	<i>n/a</i>	HIGH
Wed 27	09:30	UK	CPI Inflation (Apr)	<i>n/a</i>	HIGH
Wed 27	13:30	US	PCE Deflator (Apr) — Fed's preferred inflation gauge	<i>n/a</i>	HIGH
Thu 28	12:00	US	Initial Jobless Claims	<i>n/a</i>	MED
Fri 29	09:00	Eurozone	Flash CPI (May) — critical ahead of June ECB	<i>n/a</i>	HIGH

Key watch: Wednesday's US PCE deflator and Friday's Eurozone flash CPI are the two dominant prints this week. Given FOMC minutes flagged readiness to hike if inflation stays above 3%, a hot PCE on Wednesday could cause significant rates repricing. Ifo on Tuesday is the first read on German business confidence post-ceasefire and post-holiday.

11. Corporate Events & Earnings — Week of 26 May 2026

Date	Company	Event	Notes
Mon 25	All Europe	Markets closed (bank holiday)	No European corporate activity
Thu 28	Coca-Cola Europacific Partners (CCEP)	AGM — 11:30am BST, London	1A Wimpole Street, London W1G 0EA; investor focus on FY guidance and energy cost outlook
Week	Multiple S&P 500 names	Q1 2026 earnings (tail-end of season)	EPS growth season at +28.4%; remaining reporters mostly smaller-caps
Fri 29	Multiple European names	Month-end rebalancing / window-dressing	May month-end flows likely to be significant given large moves in Brent and equities during May

12. Stocks to Watch — Tuesday 26 May Open

Name / Ticker	Sector	Reason	Probable Direction
Nvidia (NVDA)	Technology / AI	Record \$81.6bn Q1 rev, \$80bn buyback — stock fell 0.9% as guidance disappointed elevated expectations. Monday US session may reset tone.	<i>Neutral to mild negative; watch Monday US close</i>
Lockheed Martin (LMT)	Aerospace & Defense	Citi upgrade (May 18) flags undervaluation vs strong operational performance. Iran war cycle supports F-35 and missile system demand.	Positive bias; defense budget tailwind
Freeport-McMoRan (FCX)	Metals & Mining (Copper)	BofA top copper pick; energy transition demand + China PMI data this week will drive near-term. Copper at \$6.38/lb — watch CSI 300 Monday direction.	<i>Directional; China-dependent. Neutral for now.</i>
Agnico Eagle (AEM)	Mining (Gold)	BofA top gold pick; gold near \$4,523/oz — war premium, inflation hedge, new Fed Chair uncertainty all supportive. Rate hike risk is a headwind.	Positive; gold well-bid above \$4,500
BHP Group (BHP LN)	Diversified Mining	World's largest miner positioned for electrification megatrend. Chinese CSI 300 weakness Friday a short-term drag; lfo Tuesday matters for European demand signal.	<i>Neutral; awaiting China demand data</i>
BP / Shell (BP LN / SHEL LN)	Energy (Integrated)	Brent stabilisation at \$104 creates earnings visibility. Hormuz recovery pace is key variable — any positive shipping news is a short-term catalyst. Shell AGM was May 19.	Mild positive; Brent support
Tanker operators (e.g. Euronav, Nordic Tankers)	Shipping	Strait of Hormuz at 5% capacity is windfall for VLCC/Suezmax rerouting economics. Any news of Hormuz reopening is a sharp de-rating catalyst. No such news yet.	Positive near-term; monitor Iran ceasefire
Airbus (AIR FP)	Aerospace & Defense	Jet fuel cost relief from Brent decline from \$126; defense demand from European rearmament. Deliveries guidance for Q2 2026 expected to be affirmed.	Positive; cost and demand tailwinds
European Banks (SAN, BNP, DB)	Financials	Rising Bund yields to 3.10% improve NIM for European banks. Watch lfo for German growth outlook — DB most exposed to domestic Germany. Month-end positioning flows.	Mildly positive; NIM expansion theme
RTX Corporation (RTX)	Aerospace & Defense	Post-Iran conflict, US DoD contracting accelerating. Raytheon missile systems in demand. Citi sector upgrade includes RTX in undervalued bucket.	Positive; defence procurement cycle

13. Macro / Corporate / Political Highlights

MACRO

1. **Fed at 3.5–3.75%, hike risk rising.** FOMC held for third consecutive meeting April 29. May 20 minutes showed majority ready to hike if CPI stays above 3%. Four dissents. New Fed Chair (Kevin Warsh) takes office — markets read Warsh as hawkish. US 10Y at 1-year high of 4.60%.
 2. **Inflation above 3% driven by energy.** Iran war-era oil spike pushed most US inflation measures above 3%. PCE print Wednesday 27 May is the pivotal data point of the week — a hot number risks bringing forward a June hike.
 3. **European growth divergence.** Germany recovering (DAX +4% last week, lfo Tuesday the first hard post-ceasefire read). France and periphery lagging. ECB in a difficult position: hike to fight energy-driven inflation or stay to support growth.
 4. **S&P 500 Q1 EPS at +28.4%.** The strongest earnings growth since Q4 2021 — but the bar is now very high for Q2 2026, when energy cost inflation and Hormuz supply disruption begin to bite margins, particularly for industrials and consumer names.
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CORPORATE

1. **Nvidia record quarter but market indifferent.** \$81.6bn revenue, \$75.2bn data center sales, \$80bn buyback — stock -0.9%. AI capex cycle intact but at 30.5x earnings the stock is priced for continuous beats. Risk: any capex softening from hyperscalers.
 2. **Coca-Cola Europacific Partners AGM (May 28).** Focus on input cost guidance for H2 2026 and CEO commentary on consumer behaviour in elevated-inflation environment across Europe.
 3. **Defense sector repricing.** Post-Iran war, the US DoD and European NATO members are in accelerated procurement cycles. Lockheed, RTX, Airbus, Leonardo, BAE Systems — all with multi-year backlogs now being formally funded.
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POLITICAL / GEOPOLITICAL

1. **Iran ceasefire: uneasy but holding.** Ceasefire declared April 7; fighting ended May 5. Strait of Hormuz physical clearance ongoing — shipping at 5% of normal. IEA calls it "the largest supply disruption in history of the global oil market." Timeline for normalisation now late 2026.
 2. **New US Fed Chair: Kevin Warsh.** Powell's term expired May 15. Warsh is associated with hawkish, rules-based monetary policy. Markets are treating his appointment as a signal that the Fed is more likely to hike than cut in 2026.
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3. **European defence spending.** Iran war accelerated NATO rearmament commitments across Europe. Germany and France both running larger fiscal deficits to fund defence — adding to European government bond supply (gross ~€1.4 trillion in 2026).

14. Key Themes — Top 5 by Horizon

TODAY'S TOP 5 (TUESDAY 26 MAY — FIRST EUROPEAN SESSION)

1. **Gap-open from long weekend.** Two sessions of US and Asian price action (Mon 25) processed at once on Tuesday open; gap risk — especially if Hormuz news or Fed speaker surprises over the weekend.
 2. **German Ifo Business Climate (08:00 BST).** First hard read on German corporate confidence after ceasefire — a beat would confirm the DAX's +4% last week is justified; a miss would trigger sharp reversal.
 3. **Nvidia Monday US session.** US markets open Monday (Europe closed) — any further move in NVDA or broader tech will set the tone for Tuesday. Watch 26,300 on Nasdaq as support.
 4. **Oil price Monday session.** Brent futures trade through the UK/European holiday. Any Hormuz-related news over the weekend flows directly into Tuesday's European energy and shipping names.
 5. **Month-end positioning begins.** May month-end is Friday 29 May. Rebalancing flows start this week — large May equity gains mean equity selling / bond buying likely from pension funds.
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THIS WEEK'S TOP 5

1. **US PCE Deflator (Wed 27).** Fed's preferred inflation gauge — a print above consensus risks triggering a June rate hike repricing, with knock-on effects on US 10Y, DXY, and growth stocks.
 2. **Eurozone Flash CPI (Fri 29).** May inflation print ahead of June ECB meeting — determines whether ECB is forced to adopt a hawkish tone to match the Fed pivot.
 3. **Strait of Hormuz developments.** Any material improvement or deterioration in Hormuz shipping traffic will move Brent, LNG, shipping stocks, and inflation expectations across the whole week.
 4. **Fed speaker schedule.** New Fed Chair Warsh and other FOMC officials likely to speak this week — his first public remarks post-confirmation will be closely watched for any deviation from the hawkish signal in the minutes.
 5. **DCM window: 4 days only.** Holiday-compressed week means corporate treasurers and SSA issuers must price before Friday. Watch for a surge of deals Tuesday/Wednesday if spreads are constructive.
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THIS MONTH'S TOP 5

- 1. June FOMC decision (likely June 17).** Now the central risk event for May: will Warsh lead the Fed to hike for the first time since the rate-cutting cycle? June FOMC is the key binary for US rates and equities into year-end.
- 2. Hormuz shipping normalisation pace.** IEA and market consensus now targets late 2026 for full recovery. Any faster-than-expected normalisation sharply deflates energy and shipping premiums; any setback re-inflates them.
- 3. June ECB meeting and forward guidance.** ECB must navigate energy-driven inflation against weakening eurozone growth. German fiscal expansion adds supply; French fiscal deterioration adds credit risk. June meeting sets tone for H2 2026 European bond markets.
- 4. European defence budget approvals.** Multiple EU member states finalising supplementary defence budgets in June — Airbus, Leonardo, KNDS, Rheinmetall watching for contract announcements. Positive for European industrials.
- 5. Month-end / quarter-end mechanics (end May / end June).** May month-end rebalancing this week followed by quarter-end in June — equity gains across April and May are large; expect mechanical selling pressure into month-end from balanced fund rebalancing.

15. Key Trends to Watch

1 DAY

Gap open management. European markets have missed two sessions (Fri after 5pm + Mon all day). The gap between Thursday European close and Tuesday open will contain: US Friday rally (+0.37% S&P), US Monday session (unknown at time of writing), and Asian Monday session. Watch Euro Stoxx 50 futures in pre-open from ~07:00 BST Tuesday for direction.

German Ifo (08:00 BST). The single most important European data print of the day. Consensus unknown but market has priced in post-ceasefire optimism in the DAX (+4% last week). A sub-consensus Ifo would be a meaningful short-term negative for DAX and EUR.

Oil direction. Brent at \$104 is the pivot. A break below \$100 (Hormuz news) lifts consumer and energy-intensive stocks; a spike back toward \$110+ (ceasefire breakdown) would hit equities hard and push inflation expectations higher.

1 WEEK

Fed vs ECB divergence. US PCE (Wed) and Eurozone flash CPI (Fri) will determine the relative monetary policy vector for the next six weeks. If the US signals a hike while the ECB stays on hold, EUR/USD faces downside pressure below 1.17.

Corporate issuance rush. With only four sessions and rates potentially moving after Wednesday, the window for corporate bond deals is narrow. Monitor iTraxx Main Tuesday morning — if it opens tight, expect a wave of new mandates by lunch.

Defence stocks vs tech. Citi's aerospace & defense upgrade last week competes with Nvidia's muted reaction for sector rotation narrative. Money is moving from mega-cap tech toward defence and energy — watch relative performance of DAX defence names vs Nasdaq.

1 MONTH

June FOMC (first hike?). If Warsh leads the Fed to hike in June, this is a structural re-rating event: duration assets sell off, growth multiples compress, USD strengthens. The probability has risen from near-zero in April to a meaningful risk now. This is the dominant macro theme for June.

Hormuz recovery timeline. The IEA's characterisation as the "largest supply disruption in history" means even a partial Hormuz normalisation will cause a \$15–20/bbl Brent decompression. This will be a multi-month tailwind for inflation management and consumer-facing sectors globally.

European earnings quality in Q2 2026. S&P earnings growth of +28.4% in Q1 sets a very high bar for Q2. In Europe, the DAX's recent strong performance must be validated by Q2 earnings guidance from German industrials — the June reporting season will be the test. Energy cost inflation, Hormuz logistics costs, and USD/EUR dynamics are the key headwinds.

Sources: CNBC (European and Asian market coverage, Nvidia earnings, FOMC), Reuters (commodities, FX), TheStreet (US session wrap May 22), Yahoo Finance (S&P, Dow, Nasdaq historical), Federal Reserve (FOMC statement Apr 29, minutes May 20), Trading Economics (Euro Stoxx, Bund yield, commodities), Britannica / Wikipedia (2026 Iran war economic impact), Oxford Economics (Iran conflict economic impact), J.P. Morgan (Iran-US market effect), IEA (supply disruption assessment), FactSet (Q1 2026 EPS growth), Amundi (European bond supply 2026), GlobalCapital (EU sovereign issuance calendar), Citi Research (aerospace & defense upgrade, May 18), BofA (metals picks), Intellectia AI / Kiplinger / Fortune (Nvidia earnings detail), World Economic Forum (Middle East price tag), SEC EDGAR (CCEP AGM, Shell AGM filings), Investtech (morning report context), MarketPulse / OANDA (FX commentary), Schwab Market Update (open commentary).

Data collected automatically via web search approximately 06:45 BST, Sunday 24 May 2026. Verify all figures before making any investment or trading decision.